

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

INTERMODAL MOTOR CARRIERS CONFERENCE, AMERICAN
TRUCKING ASSOCIATIONS, INC., *Complainant*

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT ASSOCIATION
INC.; CONSOLIDATED CHASSIS MANAGEMENT, LLC;
CMA CGM S.A.; COSCO SHIPPING LINES CO. LTD.;
EVERGREEN LINE JOINT SERVICE AGREEMENT, FMC NO.
011982; HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK A/S;
MSC MEDITERRANEAN SHIPPING COMPANY S.A.;
OCEAN NETWORK EXPRESS PTE. LTD.; WAN HAI LINES LTD.;
YANG MING MARINE TRANSPORT CORP.; AND
ZIM INTEGRATED SHIPPING SERVICES, *Respondents*.

DOCKET NO. 20-14

Served: July 23, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER REQUIRING SECOND REMAND JOINT STATUS REPORT

I. INTRODUCTION

A. Summary of Procedural History

On February 13, 2024, the Commission issued an Order Affirming Initial Decision and Remanding for Further Proceedings (“Remand Order”). The Commission affirmed the Initial Decision Partially Granting Summary Decision (“Initial Decision” or “I.D.”) and remanded the proceeding “to resolve the remaining claims and for further proceedings consistent with this Order.” Commission Order at 72.

On February 23, 2024, an order was issued requiring the parties to file a joint status report identifying next steps and to provide a proposed schedule. On March 25, 2024, the parties filed their first remand joint status report (“JSR”).

On March 14, 2024, Respondents filed joint and individual motions for reconsideration. On June 5, 2024, the Commission issued an Order Holding in Abeyance Petitions for Reconsideration and Granting Leave to File Amicus Brief (“Reconsideration Order”). The Commission determined to hold Respondents’ petitions for reconsideration in abeyance as premature under Commission Rule 261 pending a final ruling on the remaining claims. Reconsideration Order at 2.

The parties must confer regarding next steps and file a second remand joint status report by August 23, 2024, addressing the issues below and including a proposed schedule to resolve all remaining claims in this proceeding.

B. Argument of the Parties

In the JSR, Complainant IMCC identified two factors driving the scope of the remand proceeding, which can be described as: (1) whether CCM rules enjoined in the Remand Order can be enjoined in other locations and (2) what additional steps are needed at the Pool of Pools. JSR at 2. These are the two areas that will be discussed more below followed by additional considerations. Respondents' request for a stay pending the Commission's decision on reconsideration is moot.

IMCC requests a compliance report regarding how Respondents have complied and intend to comply with the Commission's decision, the status of the Pool of Pools, and operational conditions at Memphis and Savannah (including changes under "SACP 3.0"), followed by a second joint status report outlining the remaining issues in the case, any discovery that may be needed, and a more detailed proposed schedule. JSR at 2-5. IMCC asserts that "pool operations at other geographies are not an issue" and that it "has no present intention to seek relief with respect to the operation of pools at locations beyond the four initial geographies." JSR at 5. IMCC also asserts that Respondents "should explain why the Commission's relief directed toward CCM rules and ocean carrier-IEP contracts should not become nationwide on the existing record." JSR at 5.

Respondents state that they "seek to comply with the Decision's cease and desist order through the restructuring of their obligations that are within their control" but that this matter should be stayed until the Commission rules on the request for reconsideration; that there is a new chassis provision model in the Southeast known as "SACP 3.0" and there have been "fundamental changes in the structure of the chassis pool in Savannah since the commencement of this proceeding;" that operational changes have occurred in the mid-south chassis consolidation pool; and that the conduct at issue in this proceeding should not be enjoined nationwide on the basis of the limited, existing record because reasonableness is a question of fact. JSR at 6-8. Respondents request that if a compliance plan and/or report is necessary, "Respondents anticipate that 45 days would be appropriate for such an undertaking." JSR at 12.

C. Prior Decisions

The initial decision found "as a matter of law based on the undisputed material facts that the *exclusive* chassis agreements at issue violate the Shipping Act when the motor carrier is not able to utilize the chassis provider of its choice for MH transportation" but that *default* chassis agreements did not violate the Shipping Act "when the default arrangement does not prevent motor carriers from unilaterally using the chassis provider of their choice [for MH]." I.D. at 4 (emphasis added). Specifically, the initial decision found:

[T]he practices found to be unreasonable are CCMP Operating Rules which limit motor carrier choice of chassis providers for MH; the contractual linkage of CH price with MH volume; the designation of IEPs by Respondent ocean carriers for

MH when motor carriers cannot unilaterally select a chassis provider of their choice; and ocean carrier designation of an IEP in the POP at the ports of Los Angeles and Long Beach, while such designation cannot be altered by motor carriers for MH.

I.D. at 56-57. The initial decision found the exclusive chassis agreements unreasonable as a matter of law, and it was not necessary to determine which specific Respondents were in violation of which provisions. I.D. at 47.

The initial decision imposed a cease-and-desist order, requiring that “Respondents shall cease and desist from violating the Shipping Act in Chicago, Los Angeles/Long Beach, Memphis, and Savannah by ceasing and desisting adopting, maintaining, and/or enforcing any regulations or practices that limit the ability of a motor carrier to select the chassis provider of its choice for merchant haulage.” I.D. at 61.

The Commission affirmed the initial decision, finding that “rules and practices designating an exclusive chassis provider for merchant haulage and using merchant haulage volume to lower their carrier haulage rates when motor carriers have no choice of providers are unreasonable under Section 41102(c).” Remand Order at 2. The Commission determined to hold in abeyance the petitions for reconsideration of the Remand Order. Reconsideration Order at 4-5.

II. DISCUSSION

The Commission remanded this proceeding for a final ruling on the remaining claims. The remaining claims are those claims raised in the complaint filed on August 17, 2020, that have not been decided. The parties were asked in the JSR to identify next steps, including the remaining issues.

In their JSR, the parties focus on changes in the industry since the initial decision, including compliance with the cease-and-desist order. It is not clear to the undersigned that compliance with the cease-and-desist order is within the scope of this proceeding. Compliance issues may be more appropriately addressed after a final decision in this proceeding. In addition, on June 18, 2024, the Commission initiated a non-adjudicatory investigation regarding compliance with chassis practices. FMC Special Investigation No. 24-02.

This proceeding is focused on deciding the allegations in the complaint and compliance issues may be better raised elsewhere. Therefore, the compliance report requested by IMCC will not be required. However, understanding the current status of chassis provision in various markets may be helpful in determining what remaining issues need to be addressed. Moreover, IMCC states that it does not seek reparations. Therefore, fact finding regarding specific violations, and imposition of reparations, may not be necessary.

The initial decision was limited to four geographic regions as test cases (Chicago, Los Angeles/Long Beach, Memphis, and Savannah). It is now necessary to determine if there are any factors that would weigh against applying the legal principles established in those four regions to other geographic regions.

A. CCM Chassis Pools

IMCC identifies two remaining issues to resolve in this proceeding. The first is chassis practices in regions with a CCM chassis pool. The Commission identified the regions with CCM-operated pools as: Denver Consolidated Chassis pool; Mid-South Consolidated Chassis Pool; Mid-West Consolidated Chassis Pool; and the South Atlantic Chassis Pool. Remand Order at 8 (also noting that the Gulf and Chicago pools had ceased operating). Of these, the initial decision addressed conduct in Memphis, serviced by the Mid-South Consolidated Chassis Pool, and Savannah, serviced by the South Atlantic Chassis Pool. Remand Order at 9.

Respondents assert that the conduct at issue should not be enjoined nationwide and that the factual record should be developed, including: “identifying the relevant geography(ies) and local chassis provisioning arrangements, determining what practices may be at issue in the relevant geography(ies), and assessing whether there are factual justifications for the challenged practices, if any, in the relevant geography(ies).” JSR at 9.

The parties are directed to confirm the list of currently operating CCM chassis pools and identify the locations served by those pools. If Savannah is currently operating pursuant to SACP 3.0, the parties should indicate whether other locations are also utilizing SACP 3.0, and if so, describe those changes with regard to the issues in this case, specifically any limitations on motor carriers’ ability to choose their own chassis provider for MH.

Additionally, Respondents must identify factors that would justify not applying the findings regarding the CCM chassis pools in the Remand Order to all of the CCM chassis pool locations. Moreover, if Respondents seek discovery to distinguish the CCM chassis pools in other locations from the locations already decided, they must explain how those factual differences would be relevant to the analysis in the Initial Decision and Remand Order.

B. Pool of Pools

The Los Angeles/Long Beach Pool of Pools (“POP”) was discussed in the Initial Decision, which found that:

Ocean carrier agreements to obtain chassis from the POP IEPs are unjust and unreasonable to the extent that ocean carriers are taking advantage of lower CH rates and the benefits of interoperability in a more restrictive manner than is necessary. Respondent ocean carriers shall not take any action which limits a motor carriers’ ability to utilize the chassis provider of their choice for MH. As requested by IMCC, Respondent ocean carriers shall not extend or continue their contracts with an IEP in the POP while motor carriers cannot unilaterally elect a different IEP of their choice for MH.

I.D. at 55.

IMCC focusses on necessary steps to determine compliance by Respondents to implement choice in the POP. JSR at 6. Respondents similarly address compliance issues with regard to the POP. As discussed above, compliance issues may be beyond the scope of this proceeding and better addressed elsewhere. The parties should state whether there are any other

issues required to be addressed regarding the Pool of Pools and whether this analysis would apply to any other geographic regions.

C. Additional Considerations

IMCC states that it “has no present intention to seek relief with respect to the operation of pools at locations beyond the four initial geographies” but it also states that it is “reserving the right to address such practices in other markets.” JSR at 2, 5. From these statements, it is unclear whether Complainant is contesting any other, non-CCM geographic regions.

This proceeding was initiated by IMCC, alleging violation of the Shipping Act, section 41102(c). IMCC must clarify its position with respect to relief requested for non-CCM pools outside of Chicago, Los Angeles/Long Beach, Memphis, and Savannah. Further, IMCC should identify any practices by OCEMA, CCM, or the other respondents that were raised in the complaint and that remain unresolved and not moot, which are not discussed above as part of CCM pools or the POP. More broadly, the parties should both address other geographic regions, outside of those covered entirely by CCM pools, and indicate whether any issues raised in the complaint about those regions need to be addressed.

Additionally, Respondents identify two questions regarding prohibited practices, stating:

Furthermore, whereas IMCC suggests that all provisions and practices linking MH chassis volumes with CH chassis prices are unlawful, it is Respondents’ understanding that such linkages are prohibited only where the motor carrier does not have a choice of chassis provider and only in instances in which the motor carrier is required to pay for the use of the chassis. Similarly, IMCC suggests that the decision prohibits practices that effectively lock in the motor carrier to the ocean carrier’s default chassis provider for MH movements, including in Savannah and at wheeled terminals in Chicago and Memphis, but Respondents’ understand that designation of a non-exclusive default chassis provider is permissible.

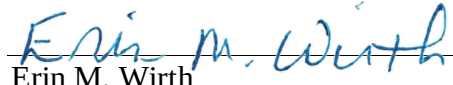
JSR at 10.

The parties may want to review the initial decision, which states that: “*limitations on motor carriers’ ability to choose their own chassis provider for MH is unreasonable;*” that a default provision does not violate the Shipping Act as a matter of law “*if the motor carrier is able to freely select the chassis provider of its choice for MH;*” and “*where the motor carrier does not have a preference for the MH chassis provider, contracts which only set up a preferred, or default, provider may not be unreasonable, as long as there is an option exclusively within the control of the motor carrier to opt-out of using the default IEP.*” Initial Decision at 42, 47 (emphasis added). These findings are not limited based on who is paying for the use of the chassis and the decision notes that imposition of per diem and late fees is relevant to the approach taken by one of the Respondents, finding that by “designating an IEP as the preferred and exclusive chassis provider for Evergreen’s CH and MH moves, Evergreen is exerting an influence over competition in the market.” I.D. at 60.

III. CONCLUSION AND ORDER

The parties must confer regarding next steps and file a second joint remand status report with proposed schedule. In the joint status report, the parties should discuss the issues raised above, should propose a schedule for briefing the remaining issues, and if additional discovery is requested, should explain the relevance of that request.

For the reasons set forth above, the parties are hereby **ORDERED** to confer and to file a joint status report with proposed schedule by August 23, 2024.


Erin M. Wirth
Chief Administrative Law Judge